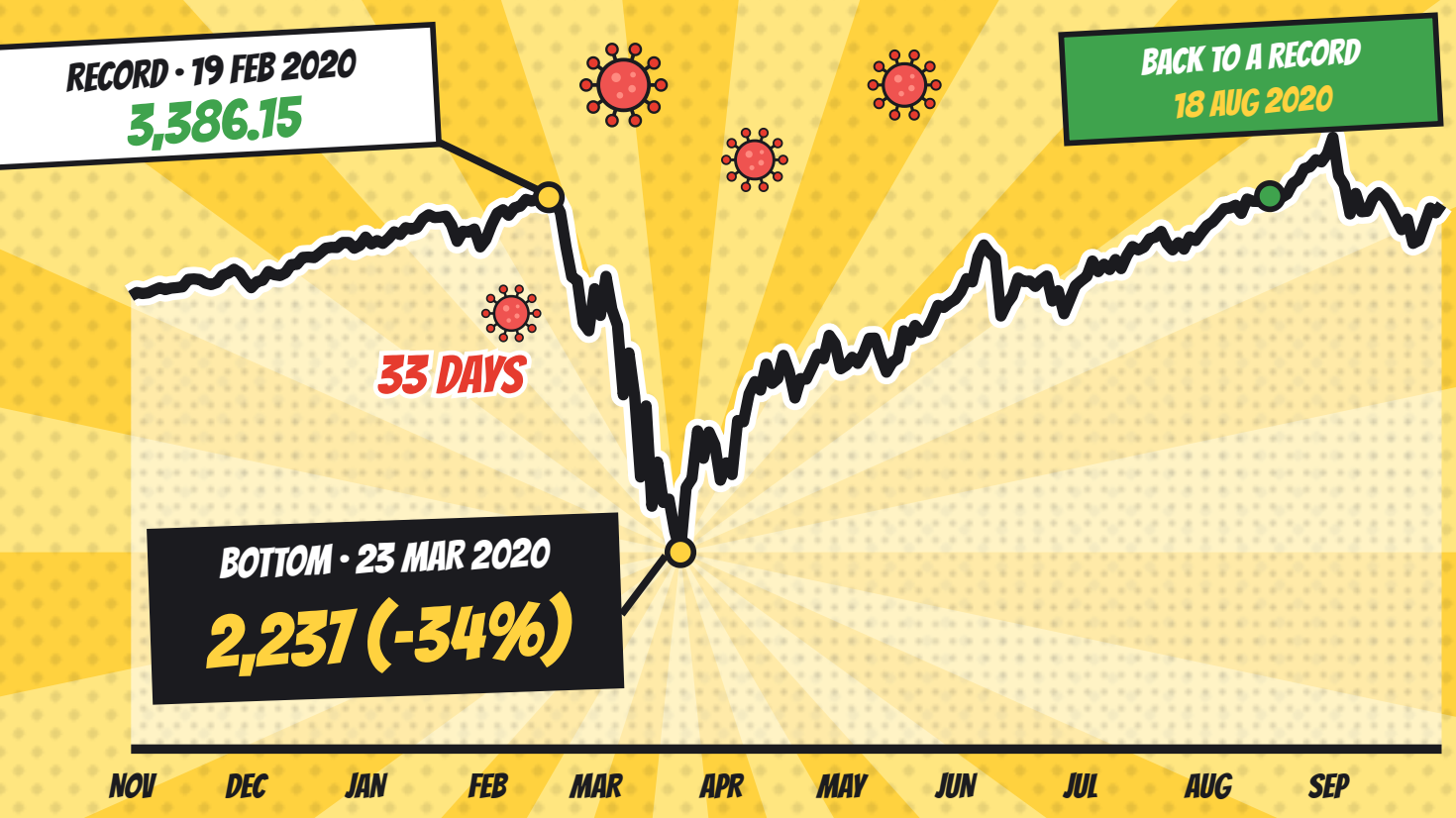
THE 2020 COVID CRASH!

THE FASTEST CRASH EVER

FEB – MAR 2020





A true story, told with real data · Chart: S&P 500, daily closes (Yahoo Finance)

THE SUDDEN STOP

What changed: nothing inside the economy broke first. A virus forced the world to stop working and shopping, almost overnight.

1 A NEW VIRUS SPREADS

Covid-19 was first found in Wuhan, China, in December 2019. Within three months it had reached every continent except Antarctica.

2 THE WORLD SHUTS ITS DOORS

To slow it, governments closed shops, offices, schools and borders. By 2 April 2020, 3.9 billion people, half the world, were told to stay home.

3 PAYCHECKS STOP

No customers means no wages. In March and April 2020, 21.9 million Americans lost their jobs.

4 SPENDING STOPS

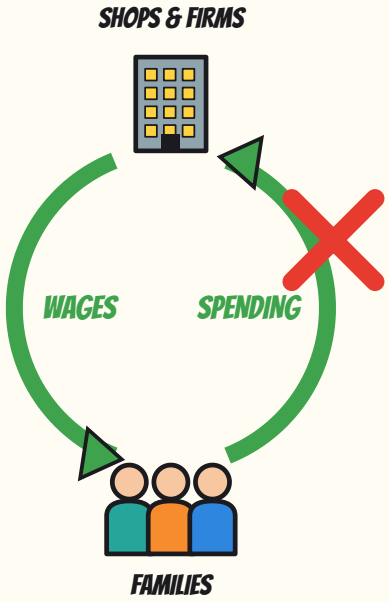
One person's spending is another person's paycheck. US shop sales fell 22% in two months, so more firms cut more jobs.

5 A DASH FOR CASH

Firms and investors sold anything they could, even "safe" US government bonds, to get cash. Markets everywhere fell at once.

THE MONEY CIRCLE

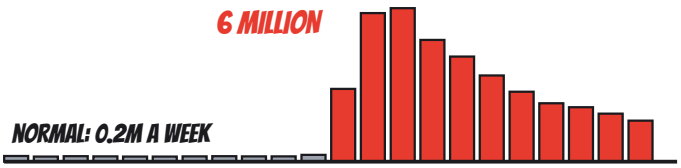
Your spending is someone else's wages.



LOCKDOWN CUT THE CIRCLE

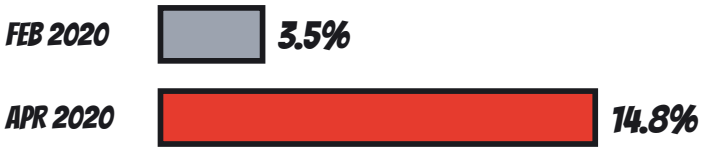
No spending, no wages. No wages, no spending. It stopped everywhere at once.

JOBLESS CLAIMS EXPLODED



new US claims each week, Jan–May 2020 (FRED)

UNEMPLOYMENT X4 IN 2 MONTHS



14.8%: the highest since records began in 1948

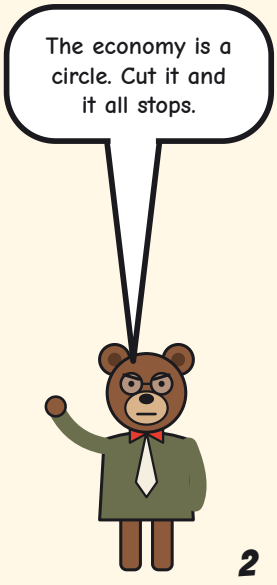
WHAT DOES IT MEAN?

PANDEMIC
A disease spreading across the whole world at the same time.

LOCKDOWN
Orders to stay at home and close places where people gather.

RECESSION
When a country's economy shrinks and jobs are lost. 2020's lasted just 2 months (Feb–Apr).

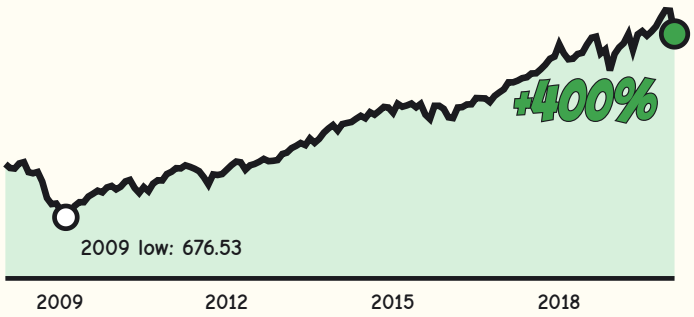
DASH FOR CASH
Everyone selling at once, even safe things, because they need money right now.



THE GOOD TIMES

Before the crash, America was enjoying its longest boom ever. These true facts made people feel safe.

SHARES CLIMBED FOR 11 YEARS



S&P 500 share index, month-end, 2008 – Feb 2020



3.5%

JOBS FOR ALMOST EVERYONE

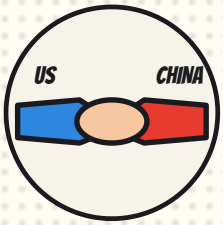
In February 2020, only 3.5% of Americans who wanted a job could not find one: the lowest since 1969.



128

THE LONGEST BOOM EVER

The US economy had grown for 128 months in a row, since June 2009: the longest run on record.



DEAL

TRADE WAR CALMING

On 15 January 2020 the US and China signed a "phase one" deal to cool their two-year trade war.



1.75%

CHEAP MONEY

The Fed cut interest rates three times in 2019, to 1.5–1.75%, to keep the boom going.



101

SHOPPERS FELT GREAT

US consumer confidence hit 101.0 in February 2020, close to its best level in 16 years.



Jobs, record shares, a trade deal... this boom will run forever!

Long booms make people forget to keep a spare tyre.



HIDDEN WEAK SPOTS

Underneath the good news, companies and families had little room for a shock. When one came, these made the fall harder.

END OF 2019

COMPANIES BORROWED A RECORD



US companies (not counting banks) owed $11.2 trillion: 51% of the whole economy, the highest share on record.

1

2019

ONE STEP ABOVE JUNK

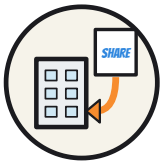


About half of all "investment grade" company bonds were rated BBB, the lowest safe grade. In 2001 it was 17%.

2

2018

CASH SPENT ON THEIR OWN SHARES



S&P 500 companies spent a record $806 billion buying back their own shares, cash that was not kept for a rainy day.

3

17 SEP 2019

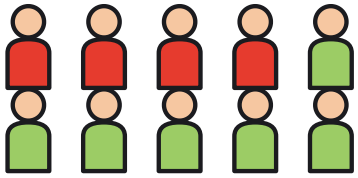
A CASH-CRUNCH WARNING



Banks suddenly ran short of overnight cash and some short-term loan rates hit 10%. The Fed pumped in $75 billion a day.

4

ABOUT 4 IN 10

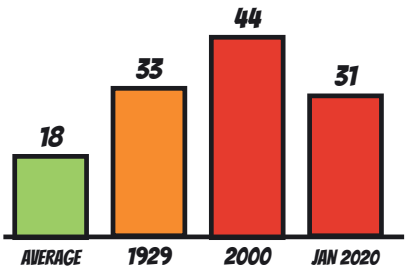


red = can't cover $400

NO CUSHION FOR A RAINY DAY

In 2019, 37% of American adults could not pay a surprise $400 bill from cash or savings. If paychecks stopped, they were in trouble within weeks.

5



SHARES WERE PRICEY

In January 2020, shares cost 31 times their average yearly profits of the past 10 years (the "CAPE" ratio). The long-run average is 18. Shares had cost this much only around 1929, 2000 and briefly in 2018.

6

WHAT DOES IT MEAN?

COMPANY BOND
An IOU a company sells to investors to borrow money. It pays interest, then repays.

JUNK BOND
A bond rated below BBB: riskier, so it must pay more interest.

SHARE BUYBACK
A company buying its own shares from the market, which can lift the share price.

CAPE RATIO
Share price divided by 10 years of average profits. High = shares are expensive.



So a sudden stop would hurt more than usual?

Yes: little cash, lots of debt, pricey shares.

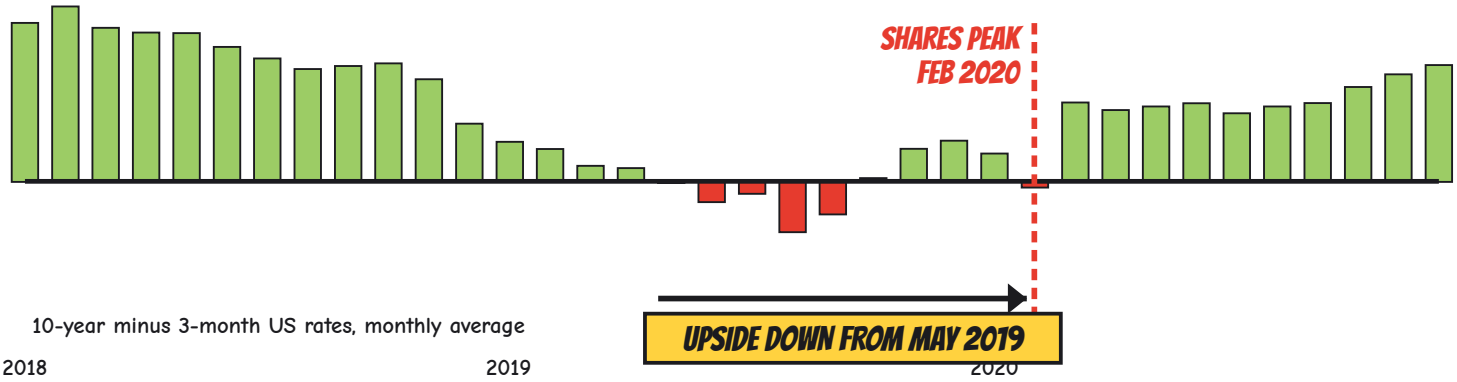


THE ECONOMY WAS ALREADY TIRED

Nobody's chart showed a virus. But in 2019 two of our warning lights said the long boom was slowing down.

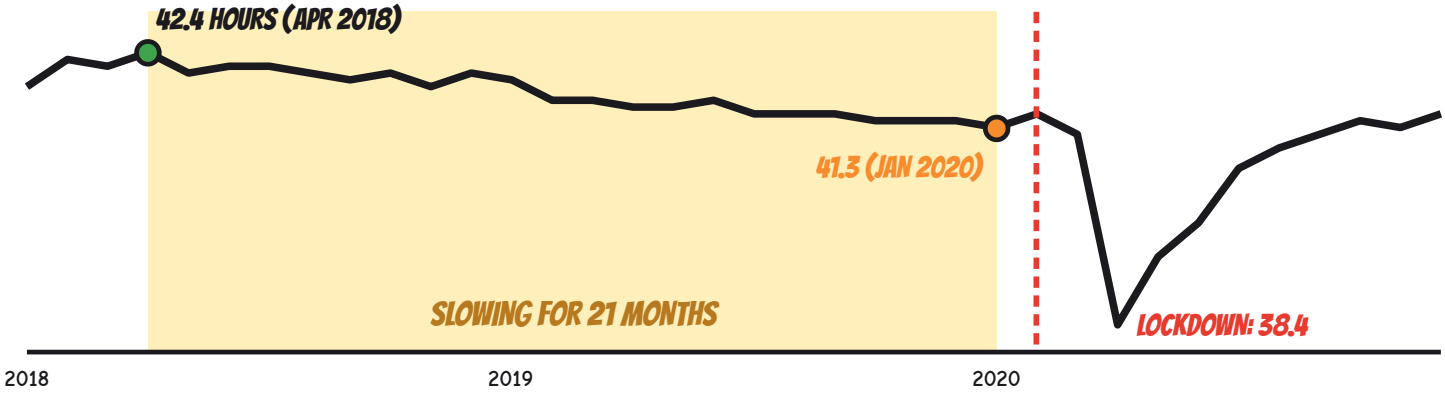
1. THE YIELD CURVE TURNED UPSIDE DOWN

Lending for 10 years normally pays more than lending for 3 months. In 2019 it paid LESS (red bars): investors expected the economy to weaken and rates to fall.



2. FACTORIES WERE CUTTING HOURS

When orders dry up, factories cut workers' hours before they cut jobs. Average weekly hours slid through 2019, during the US-China trade war.



WHAT DOES IT MEAN?

YIELD CURVE
Interest rates for short and long loans, side by side. Upside down = a warning.

FACTORY HOURS
How long factory staff work each week. Fewer hours = fewer orders.

So the lights were on BEFORE the virus?

Yes, for a slowdown. The virus turned a slowdown into a sudden stop.





TIMELINE PART 1: UP, UP...

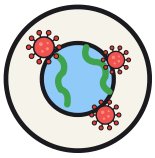
Read from the bottom up. Green = good news, red = trouble, blue = a warning or a rescue. Red stamp = the crash.

LATER

24 FEB 2020

ITALY SHUTS TOWNS

Europe's first big outbreak: 11 towns sealed off. S&P 500 -3.4%.



19 FEB 2020

CRASH STARTS

THE PEAK

S&P 500 closes at a record 3,386.15. Unemployment is just 3.5%.



30 JAN 2020

GLOBAL EMERGENCY

The World Health Organization declares a global health emergency.



23 JAN 2020

WUHAN LOCKED DOWN

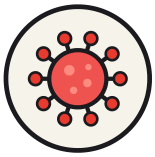
China seals off a city of 11 million people.



21 JAN 2020

FIRST US CASE

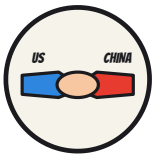
A traveller back from Wuhan tests positive in Washington state.



15 JAN 2020

TRADE DEAL SIGNED

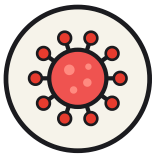
The US and China sign a "phase one" deal. Shares keep rising.



31 DEC 2019

MYSTERY ILLNESS

China reports a cluster of pneumonia cases in Wuhan.



17 SEP 2019

CASH CRUNCH

Short-term loan rates spike to 10%. The Fed pumps in cash.



31 JUL 2019

FED CUTS RATES

The first cut since 2008, to protect the economy from the trade war.



EARLIER

PART 2: ...AND DOWN!

Read from the bottom up. The whole crash took just 33 days: 19 Feb to 23 Mar 2020 (red stamps).

LATER

18 AUG 2020

BACK TO A RECORD

The S&P 500 closes at 3,389.78: a new high just 6 months after the peak.



20 APR 2020

OIL BELOW ZERO

So little demand that US oil sellers paid buyers $37 a barrel to take it.



27 MAR 2020

$2.2 TRILLION RESCUE

The CARES Act: $1,200 cheques, extra jobless pay, loans to small firms.



23 MAR 2020 — CRASH ENDS

THE BOTTOM

S&P 500 2,237.40 (-34%). The Fed promises to buy bonds "in the amounts needed".



16 MAR 2020 — THE CRASH

WORST DAY SINCE 1987

S&P 500 -12.0%. Wall Street's "fear gauge" (VIX) hits a record 82.69.



15 MAR 2020

RATES CUT TO ZERO

The Fed cuts to 0–0.25% and starts buying $700 billion of bonds.



12 MAR 2020

FASTEST FALL EVER

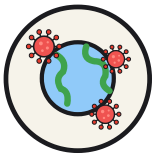
S&P 500 -9.5%. It is now 20% below its peak after only 16 trading days.



11 MAR 2020

A PANDEMIC

The WHO says Covid-19 is now a pandemic.



9 MAR 2020

OIL PRICE WAR

Saudi Arabia and Russia fall out: US oil -25%. S&P 500 -7.6%, trading halted.



3 MAR 2020

EMERGENCY RATE CUT

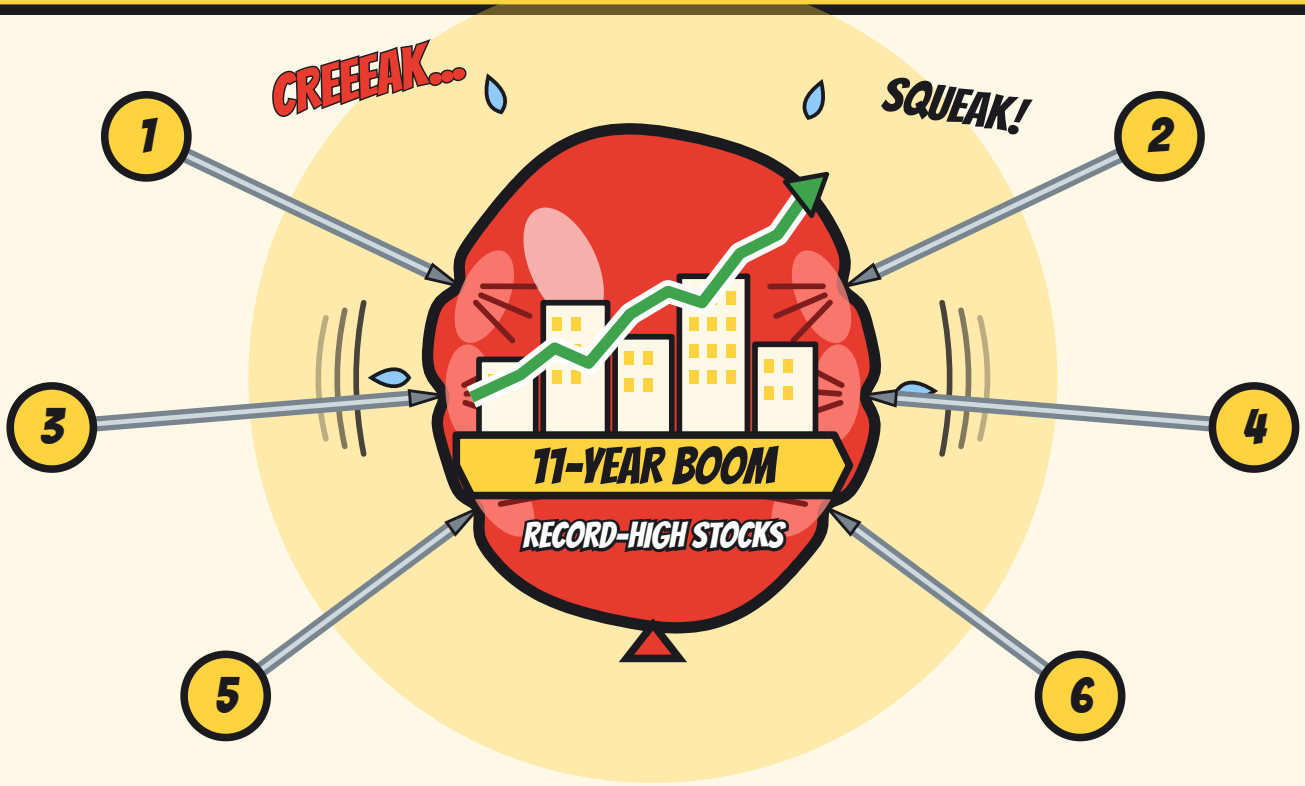
The Fed cuts by 0.5% without waiting for its meeting: the first time since 2008.



EARLIER

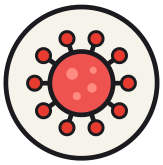
WHAT POPPED IT?

An 11-year boom met six pins at once. Most came from outside the economy:



1 THE VIRUS

A new disease spread around the world in weeks. Nobody knew how bad it would get.



2 LOCKDOWNS

Shops, offices, flights and factories closed by order, all at the same time.



3 JOBS VANISHED

6 million new jobless claims in one week: more than 8 times the old record from 1982.



4 OIL PRICE WAR

Oil fell 25% in one day (9 Mar), then below zero in April. Energy firms with big debts were hit hard.



5 DEBT-HEAVY FIRMS

With sales gone, firms that owed a lot could not pay. Lenders demanded twice as much extra interest.



6 DASH FOR CASH

Even US government bonds, the world's "safest" asset, were dumped to raise cash.

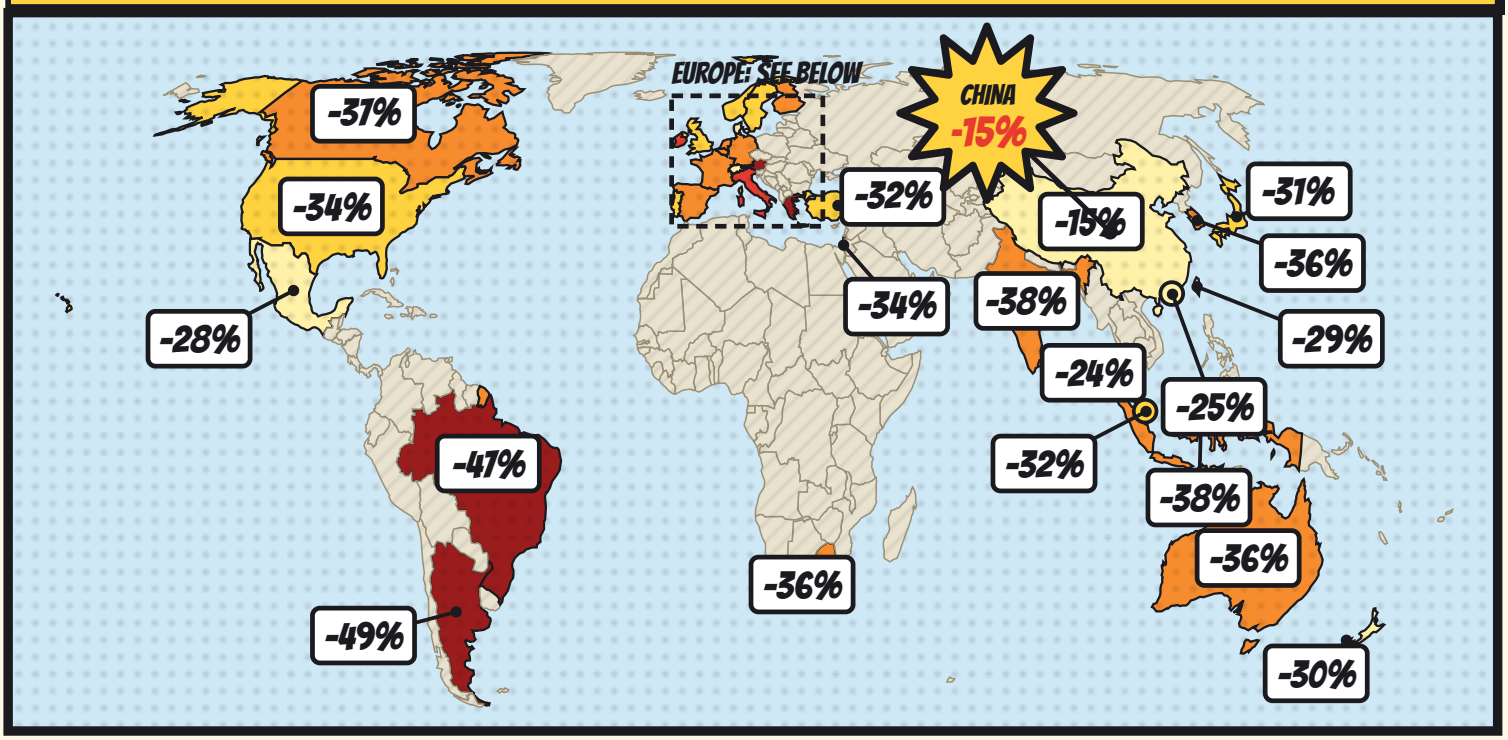


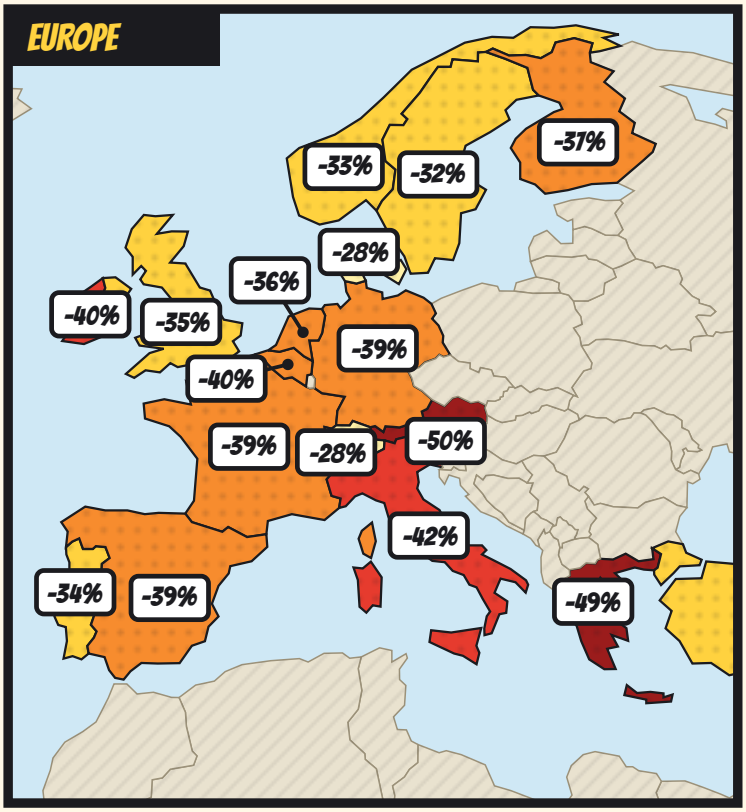


Our warning lights were already showing a tired economy. But no light could have seen a virus coming.

WHO GOT HURT?

The virus went everywhere, so did the crash. Each country is shaded by how far its main stock index fell from its high (Dec 2019 to Feb 2020) to its low in 2020. Almost every market bottomed in the same week of March.





THE FALLS, RANKED

Austria	-50%	United Kingdom	-35%
Greece	-49%	Israel	-34%
Argentina	-49%	United States	-34%
Brazil	-47%	Portugal	-34%
Italy	-42%	Norway	-33%
Ireland	-40%	Sweden	-32%
Belgium	-40%	Singapore	-32%
Spain	-39%	Turkey	-32%
Germany	-39%	Japan	-31%
France	-39%	New Zealand	-30%
India	-38%	Taiwan	-29%
Indonesia	-38%	Mexico	-28%
Canada	-37%	Denmark	-28%
Finland	-37%	Switzerland	-28%
Australia	-36%	Hong Kong	-25%
Netherlands	-36%	Malaysia	-24%
South Africa	-36%	China	-15%
South Korea	-36%		

INDEX FALL: 45% or more | 40–45% | 35–40% | 30–35% | less than 30% | no data used



Every market fell at once.

Why did China fall least?

The virus began there, so China locked down first and reopened first: factories restarted in March.



Local-currency index closes, Yahoo Finance. Grey = no daily data for 2020 (monthly averages would hide a one-month crash). Map: Natural Earth. Argentina's index is in pesos, which were also losing value fast.

THE GREAT RESCUE

This time governments and central banks moved in days, not years, and spent more than ever before. The aim: keep people paid and firms alive until the virus passed.



15 MAR 2020

UNITED STATES

RATES TO ZERO + BOND BUYING

The Fed cut rates to 0–0.25% and bought bonds. Its balance sheet grew from $4.2 to $7.4 trillion in 2020.



23 MAR 2020

UNITED STATES

FED BUYS COMPANY BONDS

For the first time ever, the Fed offered to buy company bonds, so firms could still borrow.



27 MAR 2020

UNITED STATES

CARES ACT

$2.2 trillion: $1,200 cheques per adult, $600 a week extra jobless pay, and loans to keep small firms' staff paid.



19 MAR 2020

WORLDWIDE

DOLLAR SWAP LINES

The Fed lent US dollars to 9 more central banks, from Brazil to Korea, so the world did not run short of dollars.



18 MAR 2020

EURO AREA

ECB EMERGENCY BUYING (PEPP)

The European Central Bank set aside €750 billion to buy bonds, later raised to €1.85 trillion.



20 MAR 2020

UNITED KINGDOM

FURLOUGH SCHEME

The government paid 80% of wages, up to £2,500 a month, for workers firms could not use.



7 APR 2020

JAPAN

¥108 TRILLION PACKAGE

Japan's biggest-ever rescue, later including ¥100,000 (about $930) for every resident.



21 JUL 2020

EUROPEAN UNION

NEXTGENERATIONEU

€750 billion recovery fund. For the first time, the EU itself borrowed on the markets for its members.



11 MAR 2021

UNITED STATES

AMERICAN RESCUE PLAN

$1.9 trillion more, with $1,400 cheques, signed when the economy was already recovering.

It worked fast: shares were back at a record by August. But all that new money helped push prices up in 2021–22. America's money supply grew almost 40% in under two years.



Can a cure have side effects?



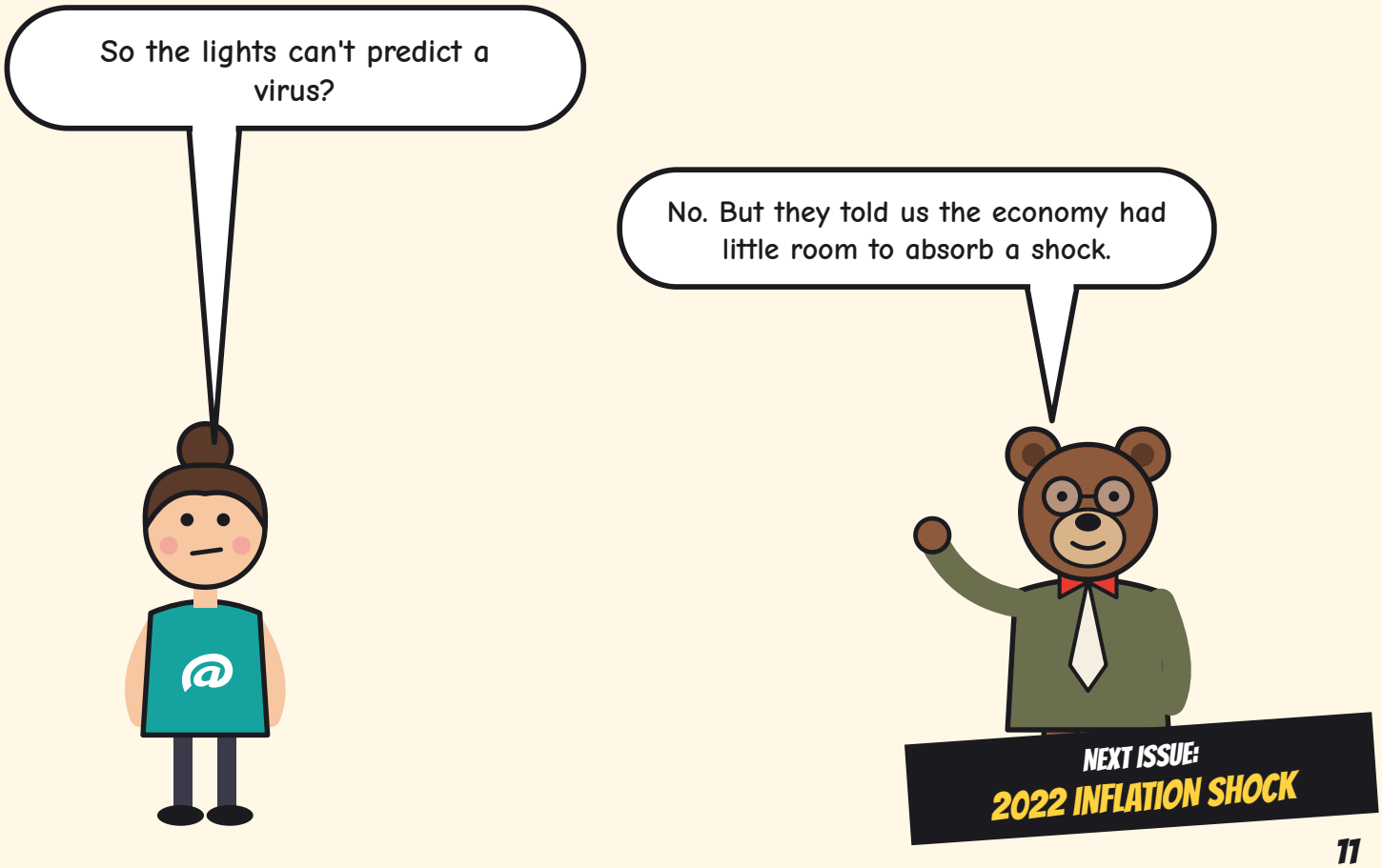
WHAT OUR WARNING LIGHTS SAID

The same 10 rules we use for every crash, applied to the months before the February 2020 peak.

YIELD CURVE INVERTED WARNED 8 months early	**FED HIKING FAST** NO SIGNAL did not fire	**INFLATION HIGH** NO SIGNAL did not fire	**OIL SHOCK** NO SIGNAL did not fire	**CREDIT SPREAD WIDENING** WARNED 14 months early
CORPORATE DEBT BUILD-UP TOO LATE 1 month after	**STOCKS EXPENSIVE** LONG ON on for 47 months	**PROFITS FALLING** WARNED 17 months early	**HOUSING SLUMP** NO SIGNAL did not fire	**FACTORY HOURS CUT** WARNED 15 months early

4 of 10 lights warned early: the yield curve, credit spreads, falling profits and shorter factory hours all said the economy was getting tired, and stocks had been expensive for years. But they were warning of a slowdown, not a pandemic.

THE LESSON: Some crashes come from outside the economy; warning lights can show fragility, but not the shock itself.



SOURCES & NOTES

Every number in this comic was checked against the sources below on 21 October 2026. Index falls use the highest close from December 2019 to February 2020 and the lowest close after it up to December 2020, in local currency. Jobs, claims, rates, debt and spending: official US data (BLS, Census, BEA, Federal Reserve) via FRED, current revised figures. Characters are fictional. For education only, not investment advice.

THE SUDDEN STOP (PAGE 2)

https://www.euronews.com/2020/04/02/coronavirus-in-europe-spain-s-death-toll-hits-10-000-after-record-950-new-deaths-in-24-hou
https://fred.stlouisfed.org/series/PAYEMS
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https://fred.stlouisfed.org/series/ICSA
https://fred.stlouisfed.org/series/UNRATE

THE GOOD TIMES (PAGE 3)

https://finance.yahoo.com/quote/%5EGSPC/history/
https://fred.stlouisfed.org/series/UNRATE
https://www.nber.org/research/data/us-business-cycle-expansions-and-contractions
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HIDDEN WEAK SPOTS (PAGE 4)

https://fred.stlouisfed.org/series/BCNSDODNS
https://www.everycrsreport.com/reports/IN11275.html
https://spglobal.com/spdji/en/documents/index-news-and-announcements/20190325-sp-500-buybacks-2018-q4-pr.pdf
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https://www.federalreserve.gov/consumerscommunities/sheddataviz/unexpectedexpenses-table.html
http://www.econ.yale.edu/~shiller/data.htm

WARNING SIGNS AND WHAT POPPED IT (PAGES 5, 8)

https://fred.stlouisfed.org/series/T10Y3M
https://fred.stlouisfed.org/series/AWHMAN
https://fred.stlouisfed.org/series/ICSA
https://fred.stlouisfed.org/series/DCOILWTICO
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THE GREAT RESCUE (PAGE 10)

https://www.federalreserve.gov/newsevents/pressreleases/monetary20200315a.htm
https://www.federalreserve.gov/newsevents/pressreleases/monetary20200323b.htm
https://www.congress.gov/bill/116th-congress/house-bill/748
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https://www.aljazeera.com/economy/2020/4/7/japans-abe-unveils-massive-1-trillion-coronavirus-aid-package
https://commission.europa.eu/news-and-media/news/eu-leaders-agreed-182-trillion-budget-next-seven-years-2020-07-21_en
https://www.congress.gov/bill/117th-congress/house-bill/1319

TIMELINE AND DATA

https://www.who.int/news/item/27-04-2020-who-timeline---covid-19 (WHO timeline)
https://archive.cdc.gov/www_cdc_gov/media/releases/2020/p0121-novel-coronavirus-travel-case.html
https://www.federalreserve.gov/newsevents/pressreleases/monetary20200303a.htm (emergency cut)
https://fortune.com/2020/03/09/market-wide-stock-trading-halts-after-sp-500-plunges-7-stock-market-crash
https://www.federalreserve.gov/newsevents/pressreleases/monetary20200323a.htm ("amounts needed")
https://fred.stlouisfed.org/series/VIXCLS · https://fred.stlouisfed.org/series/WALCL · https://fred.stlouisfed.org/series/M2SL
https://www.nber.org/research/data/us-business-cycle-expansions-and-contractions
https://finance.yahoo.com/ (daily index closes) · https://www.naturalearthdata.com/ (map outlines)